

PortOPT

QMI regime-aware Euro-area equity long/short strategy

Executive summary

This report summarizes a monthly rebalanced, market-neutral research portfolio initialized with \$1,000,000. The test spans 02 Jan 2017 to 21 Sep 2026 and includes transaction costs and short-borrow charges. The latest public-data QMI reading is -0.92, classified as **Recovery**.

ENDING VALUE	TOTAL RETURN	CAGR	SHARPE
\$1,223,022	22.42%	2.10%	0.34
ANNUAL VOLATILITY	MAX DRAWDOWN	AVG GROSS	AVG NET
6.74%	-19.90%	82.42%	-0.69%

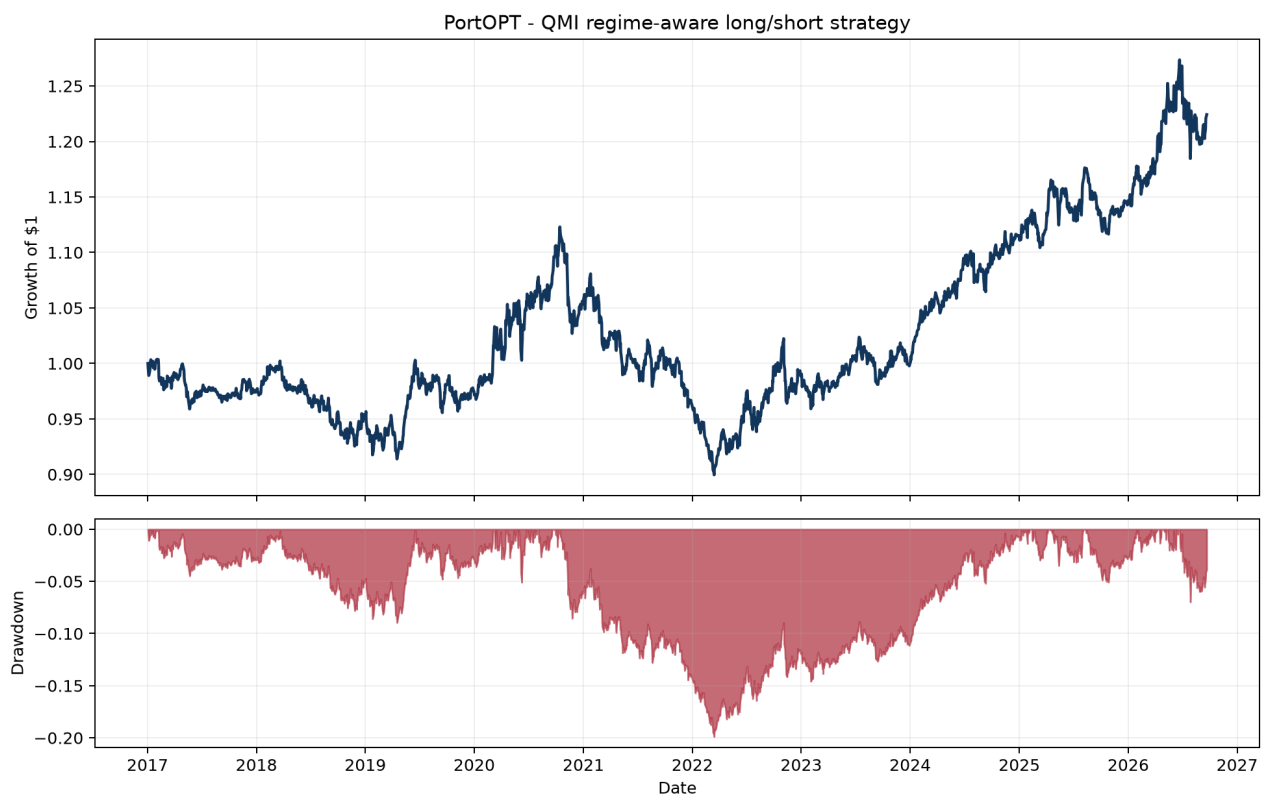


Figure 1. Growth of \$1 and drawdown after modeled costs.

Investment process

The process converts lagged Euro-area macro observations into a four-state QMI cycle classification: Expansion, Slowdown, Contraction or Recovery. It ranks a diversified EUR equity universe on momentum, growth, quality, low-risk and price-based value signals. A 60% momentum core is combined with a 40% satellite whose factor allocation is estimated from only previously completed forecasts, including prior observations of the current QMI regime.

Decision sequence

Stage	Control
Macro	Two-month publication lag; expanding normalization; no future vintages
Signals	Price data through month-end; 504-day warm-up; cross-sectional z-scores
Factor allocation	60-month trailing IC; 12-month half-life; QMI-regime conditioning
Portfolio	Top and bottom 30% of scores; covariance and turnover penalties
Execution	Target formed at month-end; return accrual begins after next close
Costs	10 bps per unit of turnover; 50 bps annual short-borrow charge

Mandate constraints

Constraint	Limit
Gross exposure	At most 100%
Absolute net exposure	At most 5%
Individual position	At most 7.5%
Sector gross exposure	At most 30%
Absolute sector net	At most 10%

Macro diagnostics

The estimated QMI Ornstein-Uhlenbeck half-life is 21.0 months. This is reported as a persistence diagnostic, not used to choose the monthly rebalance frequency. Gaussian-mixture classifications are likewise diagnostic only.

Performance and risk

Returns below are net of modeled turnover and borrow costs. The strategy is market-neutral by mandate, so it should be evaluated primarily on consistency, drawdown and risk-adjusted return rather than equity-market beta.

Calendar-year returns

Year	Net return
2017	-2.69%
2018	-2.07%
2019	2.18%
2020	8.26%
2021	-8.84%
2022	2.76%
2023	0.92%
2024	11.78%
2025	2.55%
2026	7.04%

Performance by QMI regime

Regime	Days	Annual return	Annual volatility	Positive days
Contraction	421	12.22%	7.37%	56.29%
Expansion	577	-2.37%	5.56%	46.62%
Recovery	1,044	3.27%	7.29%	53.35%
Slowdown	425	-4.18%	6.14%	51.06%
Unknown	21	2.66%	5.50%	47.62%

Interpretation

The full-history result is positive but modest, and the maximum drawdown remains material. Recent performance is stronger than the early sample. This divergence should be treated as a prompt for continued live validation, not evidence that the signal has permanently improved.

Current positioning

Snapshot as of 21 Sep 2026. Weights reflect the latest modeled allocation and should not be interpreted as a live recommendation.

Current factor allocation

Factor	Weight
Momentum	100.00%
Value	0.00%
Quality	0.00%
Low Risk	0.00%
Growth	0.00%

Sector exposure

Sector	Gross	Net
Banks	25.00%	10.00%
Energy	10.00%	10.00%
Consumer	10.00%	-10.00%
Technology	9.83%	5.97%
Insurance	7.50%	-7.50%
Healthcare	7.50%	-7.50%
Telecom	7.30%	-7.30%
Industrials	5.60%	1.38%
Materials	0.00%	0.00%
Utilities	0.00%	0.00%

Position detail

Largest long positions

Issuer	Ticker	Weight
Eni	ENI.MI	7.50%
Banco Santander	SAN.MC	7.50%
BBVA	BBVA.MC	7.50%
ASML	ASML.AS	7.50%
Bouygues	EN.PA	3.49%
BNP Paribas	BNP.PA	2.50%
TotalEnergies	TTE.PA	2.50%
Infineon	IFX.DE	0.40%

Largest short positions

Issuer	Ticker	Weight
Munich Re	MUV2.DE	-7.50%
Sanofi	SAN.PA	-7.50%
Deutsche Bank	DBK.DE	-7.50%
Deutsche Telekom	DTE.DE	-7.30%
Volkswagen	VOW3.DE	-5.34%
Hermes	RMS.PA	-4.66%
Airbus	AIR.PA	-2.11%
SAP	SAP.DE	-1.93%

Risks, limitations and data provenance

Material limitations

- The static security universe introduces survivorship bias and does not include delisting returns.
- Price-derived quality and value signals are proxies, not point-in-time accounting fundamentals.
- A conservative release lag is applied, but macro vintage revisions are not fully reconstructed.
- Borrow availability, dividends on shorts, withholding taxes, market impact and capacity are simplified.
- Historical positive returns do not establish that future returns will be positive.

Data provenance

- ECB Data Portal API: deposit facility rate.
- FRED distribution of OECD and Euro-area business confidence, unemployment and inflation series.
- Yahoo Finance adjusted price histories accessed through the open-source yfinance client.

Governance and reproducibility

The pipeline caches downloaded data, exports daily returns, holdings, turnover, regimes and factor weights, and validates constraint behavior through automated tests. The PDF is generated from those same in-memory results at the end of each successful run. Configuration values are stored in `configs/default.yaml`.

Important notice

This document is a research artifact for discussion with a portfolio manager. It does not constitute investment advice, an offer, or a recommendation to transact. Independent validation, licensed production data and pre-trade risk controls are required before any live deployment.

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